Revision Date:
June 1, 2024

Background:
Assembly Bill (AB) 959 requires CalWORKs benefits to be restored when a complete Semi-Annual Eligibility Status Report (SAR 7) is provided in the month after a SAR 7 related discontinuance.

Purpose:
The purpose of this section is to provide guidance to staff when completing a restoration, when a case has discontinued. This section is being revised for Sunset Review. There is no policy change.

Policy:
CalWORKs benefits may be restored on a prorated basis, when a complete SAR 7 is received after the extended filing date and good cause does not exist. Restoration may also be considered when a case is set to discontinue for excess property or excess income. Once a case has discontinued, applicant rules are used to reestablish CalWORKs eligibility. The definition of restoration for the CalWORKs program refers to when an individual reapplies for aid in the same county within 12 months following a CalWORKs discontinuance. Completion of a new application and Statement of Facts are usually required.

Requests for Restoration of Aid
A restoration of aid may refer to a request for reevaluation of continuing CalWORKs eligibility when the Assistance Unit (AU) has received notification of an upcoming discontinuance or after the case has discontinued. Restoration of aid may also refer to the reevaluation of CalWORKs eligibility when a penalty or sanction has been imposed and the AU later complies with CalWORKs program or Employment Services participation requirements.

Discontinuances of excess property or excess income may require an evaluation for restoration of aid:
- If the AU provides verification and is within the resource and income limits prior to the discontinuance date, the discontinuance will be rescinded, and CalWORKs reinstated without a break in aid.
- If the AU provides verification and is within the resource and income limits after CalWORKs has discontinued, the AU is required to reapply for benefits.

Restoration after a SAR 7 Discontinuance
When benefits have discontinued for failure to submit a complete SAR 7, aid may be restored if a complete SAR 7 is received during the month following the discontinuance and good cause does not exist.

The restored benefits will be prorated based on the date the complete SAR 7 was received without requiring a new application or interview. The Semi-Annual Reporting (SAR) Cycle and redetermination date will remain unchanged and recipient budgeting rules will apply.

CalWORKs recipient rules will be used for restoration of aid following a discontinuance for failure to provide a complete SAR 7. Continuing eligibility will first be established before benefits are restored. Restoration of aid will not be processed if information provided on the complete SAR 7 results in

ineligibility to CalWORKs. The AU may submit a new application, instead of a complete SAR 7. Good cause and restoration of aid will not be evaluated when the AU chooses to reapply for CalWORKs.

Restored Benefits	
Scenario	An AU is assigned to Cycle 1 and provides an incomplete May SAR 7 on June 6th. No income verification is provided and an adequate Y-NOA is issued timely. CalWORKs discontinues timely effective July 1st. Partial verification is provided on the extended filing date, July 2nd. The remaining pending verification is provided on July 20th. The worker determines good cause does not exist.
Outcome	The May SAR 7 is considered complete as of July 20th. CalWORKs eligibility will be restored, and benefits prorated as of July 20th.

Good Cause

When a complete SAR 7 is received in the month after a SAR 7-related discontinuance, the worker is required to first determine if good cause exists. Recipient budgeting rules and information provided in the complete SAR 7 will be used to determine ongoing CalWORKs eligibility.

If Good Cause is established and a SAR 7 discontinuance is rescinded, benefits will be reinstated at the previous level without a break in aid, even if the new information provided on the complete SAR 7 results in a decrease in benefits.

Timely notice is required before benefits can be decreased. Customers have the option to waive the 10-day notice requirement to avoid a CalWORKs overpayment. A signed waiver form is required before benefits can be decreased or discontinued without timely notice.

If Good Cause	**then the CalWORKs discontinuance…**
exists,	will be rescinded and benefits restored back to the first of the following month.
does not exist,	is valid and remains in place. Benefits will be restored and prorated based on the date the complete SAR 7 is received.

Untimely Processing of SAR 7	
Scenario	An AU is assigned to Cycle 4 and submits an August SAR 7 timely on September 11th. The SAR 7 is processed as incomplete on September 28th and CalWORKs benefits are discontinued effective November 1st to allow for timely notice.

	A complete August SAR 7 is received on October 10th. New income is reported, and it is determined that benefits for the new payment period will be a lower amount than what was previously issued.
Outcome	The worker determines good cause exists because a timely Y-NOA was not issued to discontinue CalWORKs at the end of the Submit Month. The November 1st discontinuance will be rescinded and benefits for the new payment period will be recalculated using the August SAR 7 information. An overpayment for October due to Administrative Error will be established for any overpaid benefits.

Decreased Benefits at Restoration

If information provided on the complete SAR 7 results in a decrease in benefits from the amount previously issued, timely notice is not required to restore aid at a lower amount. This is not considered a mid-period decrease in benefits as the payment period was disrupted when CalWORKs discontinued.

Decrease Benefit at Restoration	
Scenario	An AU of 3, Mom and her two children, has no income. The AU is assigned to Cycle 5 and fails to submit a September SAR 7. An X-NOA is issued timely, and CalWORKs discontinues on November 1st. On November 15th, the AU submits a complete September SAR 7 with new income. Mom started a new job and now earns $1,000/month. The worker determines good cause does not exist.
Outcome	The September SAR 7 is considered complete as of November 15th. Benefits will be prorated effective November 15th using Mom's new earnings to calculate benefits for the new payment period, November - April. 10-day notice is not needed to restore benefits for November at a decreased amount.

Late Receipt of SAR 7	
Scenario	An AU is assigned to Cycle 5 and fails to provide a September SAR 7. An X-NOA is issued timely and CalWORKs discontinues November 1st. The AU provides a complete September SAR 7 on the extended filing date, November 1st. An increase in income is reported and it is determined that benefits will decrease for the new payment period.
Outcome	The November 1st discontinuance will be rescinded and benefits for November reinstated without a break in aid. Since timely notice to decrease benefits for November cannot be provided, benefits will be issued at the previous level.

	An overpayment for November due to Client Error will be established for any overpaid benefits.

Denying Restoration of Aid

If information on the complete SAR 7 results in ineligibility to aid, CalWORKs benefits cannot be restored, and the AU will be required to reapply for aid.

Denying Restoration	
Scenario	An AU of 2, Dad and one child, has no income. The AU is assigned to Cycle 6 and fails to submit an October SAR 7. An X-NOA is issued timely and CalWORKs discontinues on December 1st. On December 11th, the AU submits a complete October SAR 7 with new income. Dad started a new job and earns $3,500/month. The worker determines Good Cause does not exist.
Outcome	Although the AU provided a complete SAR 7 in the month following the SAR 7 discontinuance, aid cannot be restored because the AU has excess income and is no longer eligible to CalWORKs. Restoration of aid will be denied and a restoration denial NOA will be issued.

Impacts to CalFresh

If a complete CalWORKs SAR 7 is received in the month after the SAR 7 discontinuance and CalWORKs benefits are restored, Non-Assistance CalFresh (NACF) benefits will be converted to Public Assistance CalFresh (PACF) with timely notice.

NACF after a CalWORKs/PACF Discontinuance	
Scenario	A CalWORKs/PACF two-parent household is assigned to Cycle 4. A February SAR 7 is received in the Submit Month that is only signed by one parent. The AU later submits a February SAR 7 that is signed by the other parent on April 23rd and the February SAR 7 is now complete for CalWORKs. The worker determines Good Cause does not exist.
Outcome	The SAR 7 provided in the Submit Month is considered complete for CalFresh, but not for CalWORKs. CalWORKs and PACF discontinue at the beginning of the following Month (April1st) and PACF is converted to NACF April 1st. CalWORKs benefits will be restored effective April 23rd and PACF benefits reinstated effective June 1st with timely notice.

Procedure:
CalWORKs Processing Guide 44-270.A1

References:
- EAS 40-125.9, 40-171.21, 40-171.22
- ACL No. 12-25, 12-35, 12-49, 12-59, 13-17, 13-26, 13-28, 13-80,

Sunset Date:
This policy will be reviewed for continuance by June 30, 2027.

Approval for Release:



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Self-Sufficiency Services